

EICHERMOT — Eicher Motors Ltd

Sector: Consumer Discretionary | Sub-sector: Two Wheelers

Eicher Motors Limited, incorporated in 1982, is the listed company of the Eicher Group in India and a leading player in the Indian automobile industry and the global leader in middleweight motorcycles. Eicher has a joint venture with Sweden's AB Volvo to create Volvo Eicher Commercial Vehicles Limited (VECV). VECV is engaged in truck and bus operations, auto components business, and technical

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
22.2%	20.2%	24.2%	0.02	890	11.0%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2014-12	8,738	702	27.9	34.9	-167
2016-03	6,173	1,338	36.6	42.2	462
2017-03	7,033	1,667	31.2	37.0	-36
2018-03	8,965	1,960	27.9	36.0	337
2019-03	9,797	2,203	24.7	28.6	915
2020-03	9,154	1,827	18.3	17.6	186
2021-03	8,720	1,347	11.8	11.4	66
2022-03	10,298	1,677	13.3	13.6	544
2023-03	14,442	2,914	19.4	19.1	426
2024-03	16,536	4,001	22.2	20.2	890

Financial health score: 43.5 | Band: Moderate

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	11,438	219	14,559	14,559
2022-03	12,608	108	16,140	16,140
2023-03	14,990	288	19,198	19,198
2024-03	18,045	419	23,115	23,115
2024-09	18,979	404	24,380	24,380

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	1,694	-1,508	-858	-673
2021-03	1,691	-1,625	-15	51
2022-03	1,527	-983	-593	-50
2023-03	2,823	-2,397	-417	8
2024-03	3,724	-2,834	-844	45

Capital allocation: Reinvestor / Returns

CFO quality score: 50 | CapEx intensity: 17.1% | FCF conversion: 20.6%

Pros

ROE above 20% in the latest available year.; Positive free cash flow in the latest available year.; Free cash flow has remained positive for five consecutive years.; Interest coverage exceeds 5x.

Cons

Capital expenditure intensity exceeds 8% of sales.

